FROM NATHAN KNOTTINGHAM · NMLS #270165

The Buying Preparation Guide

How to find the right loan, pick the right time, and walk into your mortgage knowing exactly what you are doing.

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Educate first. Serve well. Build trust through clarity.

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BEFORE WE START

Nobody explained the loan to you. Let's fix that first.

I started in this industry in May of 2007, months before everything broke. My first year taught me something most people learn the hard way: the buyers who get hurt are almost never the reckless ones. They are the unprepared ones. They signed what they did not understand because nobody slowed down long enough to teach them.

So this guide teaches first. No pressure, no countdown timers, no scare tactics about rates. Just the preparation that separates a confident buyer from a nervous one: how to know when you are actually ready, which loan fits your life, and what to have in order before you ever apply.

Work through it at your own pace. Mark it up. And when you finish, you will find me on the last page, ready to answer whatever it raised. That's the whole plan.

WHAT'S INSIDE

1. When is the right time to buy? (Hint: it's not about the market.)
2. The four numbers that decide your approval, and how to strengthen each one.
3. The loan lineup: which program actually fits your situation.
4. The document checklist, so nothing surprises you.
5. The do's and don'ts that protect your closing.

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PART ONE · TIMING

The right time to buy is a life decision, not a market prediction.

Everyone wants to time the market. Almost nobody can, including the professionals on TV. Rates move, inventory shifts, and headlines change weekly. What does not change is this: the buyers who do well are the ones whose lives were ready, because a ready life can refinance a rate, but a great rate cannot fix a shaky situation.

So instead of watching the market, check yourself against these readiness signals. The more boxes you check, the closer your right time is.

- ☑ **Your income is stable and provable.**
  Two years of steady employment or self-employment history is the standard lenders look for. Job change coming? Talk to a loan officer about sequencing before you leap.

- ☑ **You plan to stay put for a while.**
  Buying carries transaction costs on both ends. The longer you will hold the home, the more those costs dissolve into equity. Short horizon? Renting may honestly win.

- ☑ **Your monthly budget has room to breathe.**
  The payment includes principal, interest, taxes, insurance, and sometimes HOA dues. If a realistic total payment would strangle your budget, wait and strengthen first.

- ☑ **You have savings beyond the down payment.**
  Homes come with surprises: a water heater, a roof leak, a moving bill. A cushion after closing is the difference between an inconvenience and a crisis.

- ☑ **Your credit is telling the story you want told.**
  You do not need perfect credit. You need honest, current accounts and a few months of clean payment history. If it needs work, that work pays you back at closing.

THE HONEST TRUTH ABOUT RATES

You marry the house and the payment. If rates fall later, refinancing is an option.
If rates rise later, you locked your cost while renters watch theirs climb.

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PART TWO · YOUR FILE

Four numbers do most of the deciding.

Approval is not a personality test. Underwriters weigh a handful of measurable things, and every one of them can be strengthened before you apply. Here they are, with the moves that actually help.

CREDIT

Your track record

Shows how you have handled borrowing. It influences approval and rate.

Strengthen it: pay every bill on time for a few months, pay down card balances, and do not open new accounts before applying.

DTI

Room in your budget

Debt-to-income compares your monthly debts to your monthly income.

Strengthen it: pay off a small loan or card. Every payment you retire widens what you qualify for.

DOWN PAYMENT

Skin in the game

Affects rate, mortgage insurance, and monthly cost. Myths here cost people homes.

Strengthen it: you likely need less than you think. Some programs need little or nothing down. Ask before you assume.

RESERVES

Cushion after closing

Money left over after closing proves you can weather a surprise.

Strengthen it: even a couple of months of payments in savings makes your file stronger and your sleep better.

Notice what is not on this list: perfection. Files get approved every day with imperfect numbers, because strength in one area can balance softness in another. The point of preparation is not to be flawless. It is to walk in knowing your numbers instead of fearing them.

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PART THREE · THE RIGHT LOAN

There is no best loan. There is a best loan for you.

Loan programs are tools, and each was built for a different job. Here is the honest lineup. Find the rows that sound like your life, then let's confirm the fit together.

PROGRAM	BUILT FOR	WHAT TO KNOW
Conventional	Solid credit, some savings, buying a primary home or investment.	Flexible terms. Mortgage insurance drops off once you have enough equity.
FHA	Newer or rebuilding credit, smaller down payment.	More forgiving qualifying. Carries its own mortgage insurance rules.
VA	Veterans, active duty, and eligible surviving spouses.	No down payment, no monthly mortgage insurance. The strongest benefit in lending, and the most misunderstood.
USDA	Buyers in eligible rural and some suburban areas, moderate income.	No down payment required in eligible areas. Location and income rules apply.
Jumbo	Purchase price above conforming loan limits.	Bigger loan, stricter file. Reserves and credit matter more here.

IF YOU SERVED, READ THIS TWICE

Veterans get talked out of the VA loan constantly, usually by people who never learned how it works. I co-founded Vetted VA to end that. Before anyone steers you away from your own benefit, get a second opinion from someone who has proven they know it.

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PART FOUR · THE PAPERWORK

Gather these now. Thank yourself later.

The number one cause of a slow, stressful loan is document scramble. The buyers who close smoothly are the ones who show up with the file already built. Here is the standard stack. Your exact list may vary a little by loan type.

INCOME & EMPLOYMENT

- ☑ **Pay stubs**
  Most recent 30 days.
- ☑ **W-2s or 1099s**
  Last two years.
- ☑ **Tax returns**
  Last two years, all pages, especially if self-employed.
- ☑ **Employer contact info**
  For verification of employment.

IDENTITY

- ☑ **Government-issued photo ID**
  Driver's license or passport.
- ☑ **Social Security number**
  For credit and identity verification.

ASSETS & ACCOUNTS

- ☑ **Bank statements**
  Last two months, every page, even the blank ones.
- ☑ **Retirement / investment statements**
  Most recent quarterly statements.
- ☑ **Gift letter**
  If a relative is helping with the down payment.
- ☑ **Explanation letters**
  For any large or unusual deposits.

IF IT APPLIES TO YOU

- ☑ **Certificate of Eligibility**
  For VA loans. Your loan officer can help pull this.
- ☑ **Divorce decree / support orders**
  If they affect income or obligations.
- ☑ **Current mortgage or rent history**
  Landlord contact or statements.

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PART FIVE · PROTECT YOUR CLOSING

The do's and don'ts that keep deals alive.

Loans do not usually die from big dramatic problems. They die from small avoidable ones, made in the quiet weeks between application and closing. Put this page on the refrigerator.

DO

- Keep paying every bill on time, every time.
- Respond to document requests the same day.
- Keep your money where it is. Stability reads as strength.
- Ask about anything you do not understand. Every question is free.
- Tell your loan officer about life changes early, not after.
- Verify wire instructions by phone before sending money.

DON'T

- Don't finance a car, furniture, or anything else mid-loan.
- Don't open or close credit accounts, even store cards.
- Don't change jobs without a conversation first.
- Don't move large sums between accounts unexplained.
- Don't co-sign for anyone during the process.
- Don't let anyone rush you past a document you haven't read.

One rule underneath all of these: underwriters approve stories that hold still. From application to closing, your job is simply to be the same borrower on closing day that you were on day one.

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YOUR NEXT MOVE

You're prepared. Now let's get you home.

You know your timing, your numbers, your loan options, and your paperwork. That puts you ahead of most buyers before they ever make a call. When you are ready, here is exactly what happens next.

1. **Start your application**
   Takes about 15 minutes online. It opens the file and nothing is set in stone.
2. **We talk**
   I review your goals and your numbers, and we pick the loan that actually fits.
3. **You shop with confidence**
   Pre-approval in hand, understanding every step, from offer to keys.

Start your application

Scan the code or visit:

edge.my1003app.com/270165/register

Rather ask a question first? Good instinct.

Email: nathan.knottingham@edgehomefinance.com
Call or text: 503-949-7517 Web: nathanknottingham.com

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